HE3112 Financial Accounting for Economists

AY 2026/2027 Semester 1

Group Project: Accounting Assumptions and Economic Implications

Group Formation:

- Students should form groups of three within their own tutorial groups.
- If the total number of students in a tutorial is not divisible by three, I will approve groups of four.
- Please finalize and inform me of your group by **10 September 2026**. Students who do not have a group by the deadline will be assigned to one by me.

Task:

You will take on the role of a Financial Economist working for a brokerage firm. Your task is to evaluate how accounting assumptions and standards shape the way firm performance is measured, reported, and interpreted. Accounting practices are not uniform, and different choices can meaningfully alter reported outcomes. Consider, for example:

- **Standards and regulations:** GAAP vs. IFRS, adoption of IFRS 16 for lease reporting, or fair value vs. historical cost accounting.
- **Firm-level assumptions:** Inventory valuation (FIFO vs. LIFO), depreciation methods, treatment of goodwill and intangibles, or loan-loss provisioning.
- **Policy and classification choices:** Timing of revenue recognition, capitalization vs. expensing, or consolidation of subsidiaries

Your analysis should:

1. Select an accounting standard, assumption, or reporting choice.
2. Examine how this choice affects reported financial results.
3. Discuss the economic implications for the firm, including impacts on performance evaluation, investment decisions, and broader market outcomes.

The goal is to connect financial accounting concepts with economic reasoning, showing how reporting practices influence firm behavior and perceptions of performance. Ideally, you should base your project on a real company and analyze its financial statements in light of a specific accounting change. If that is not possible, you may use a well-structured hypothetical case, but you must still work with actual financial statements as the foundation of your analysis.

Use of Generative AI:

The use of generative AI tools (e.g., ChatGPT, Copilot, Gemini, Claude) is allowed and encouraged for this project.

You are encouraged to use AI as a tool to support your analysis, for example to:

- generate and refine project ideas;
- identify relevant accounting issues and economic implications;
- compare alternative accounting treatments;
- help interpret financial statements and disclosures;
- test different assumptions or scenarios;
- improve the structure and clarity of your report;
- prepare charts, tables, and presentation materials; and
- anticipate questions that may arise during the presentation.

Part of the purpose of this project is to develop your ability to use new analytical tools effectively. Good use of AI involves more than simply asking it to produce an answer. You should use it to explore alternatives, challenge your reasoning, check your understanding, and improve the quality of your analysis.

You remain responsible for the final submission. In particular:

- Verify important facts, calculations, quotations, references, and accounting interpretations against reliable sources.
- Do not assume that AI-generated information is correct.
- Your project should demonstrate your group's own judgement, economic reasoning, and critical evaluation.
- You should be able to explain and defend all parts of your analysis during the presentation and Q&A, including material developed with the assistance of AI.

Strong projects may demonstrate how AI was used effectively to deepen the analysis, consider alternative interpretations, or improve the presentation of evidence.

If relevant, please include a short AI-use statement at the end of the report indicating which AI tool(s) you used and briefly describing how they contributed to the project. This statement will not count toward the four-page limit.

Deliverables:

Executive Summary Report

- Maximum 4 pages (excluding cover page, references, workings, appendix etc).
- No fixed format. You are encouraged to be as creative as possible.

PowerPoint Slides

- Maximum 10 slides (excluding cover page, references, appendix etc).
- Time Limit: 15 minutes per group + 5 minutes Question and Answer.

Deadline:

For **both** report and slides:

Upload into NTULearn before **20 October 2026 (Tuesday), 12pm**.

Presentations will take place on the week of **22 October 2026.**

Rubrics:

40%: Content
– Explanation of issues.
– Applying lessons learnt from class to the real world.

40%: Critical Thinking
– Understanding assumptions.
– Making sound judgements.

20%: Class Presentation
– Communication.
– Presentation Delivery.